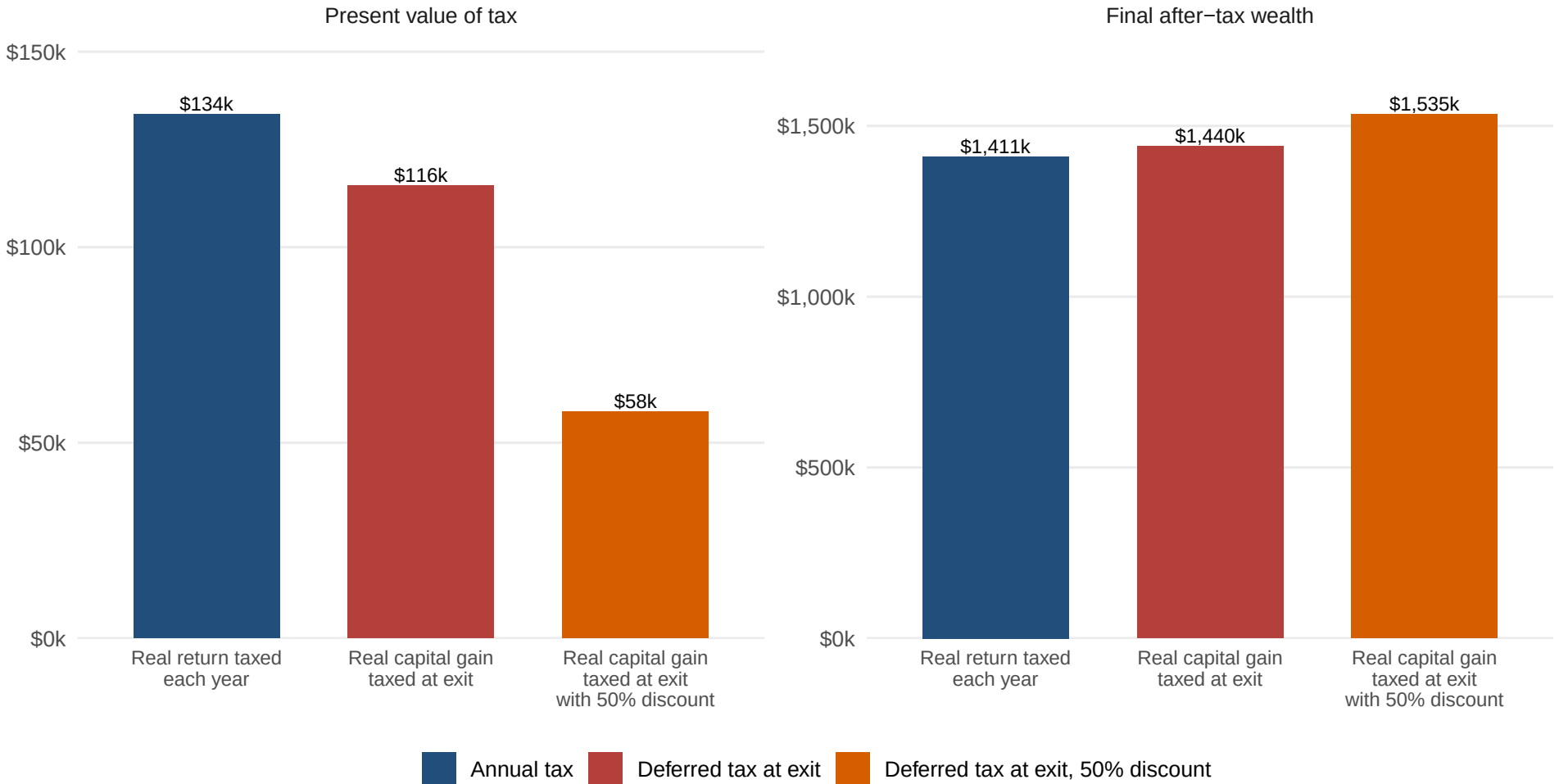


Deferral is valuable even when the real gain is eventually taxed

\$1,000,000 asset earning a 5% annual real capital gain over 10 years



Flat tax rate: 30%. The same real return is taxed annually or only when the gain is realised.